Dealer Gamma Hedging Field Guide

How to use SPY price action, option-chain volume, open interest, delta, and gamma to infer possible dealer hedging behavior.

Case study

SPY 0DTE option chain and chart screenshots from April 21, 2026. The framework is designed for paper-trading and market structure analysis, not options execution.

Core question: When SPY moves through heavily traded 0DTE strikes, does price behavior look like pinning, rejection, upside acceleration, or downside acceleration?

Today's market snapshot

704.08 SPY last as of 21:39:02 UTC	**710.17** Open session opening price	**712.26** High upper rejection zone
702.68 Low downside trigger	**58.5M** Volume intraday shares	**705-707** Focus zone main gamma shelf

Market data note: values are from the SPY quote captured during this session. Option-chain values are manually read from the uploaded screenshots and rounded only where shown.

Fast takeaway: SPY was trading just below a heavy 705-707 gamma shelf. Reclaiming 705/707 would shift attention toward pinning or upside magnet behavior. Failing 705 and breaking 702.68 would shift attention toward possible negative-gamma downside acceleration.

1. What you are trying to detect

Gamma hedging is the process of adjusting the underlying hedge as option deltas change. Because gamma measures how fast delta changes, high-gamma strikes can create fast hedge adjustments, especially near expiration.

Important limitation

You cannot prove dealer inventory from a public option chain alone. You are building a disciplined inference from price, volume, open interest, delta, gamma, and chart reaction.

Use this lesson as a repeatable observation workflow: find the active strikes, rank the gamma-pressure zones, then watch how price behaves when it interacts with those zones.

What you can see

Visible input	Use
SPY price	Where the underlying is now
Strike price	Where option risk is concentrated
Volume	Today's active participation
Open interest	Contracts still open / liquidity context
Delta	Directional sensitivity
Gamma	Speed of delta change
Chart reaction	Confirmation: pin, reject, accelerate

2. Start with the chart: spot price and daily range

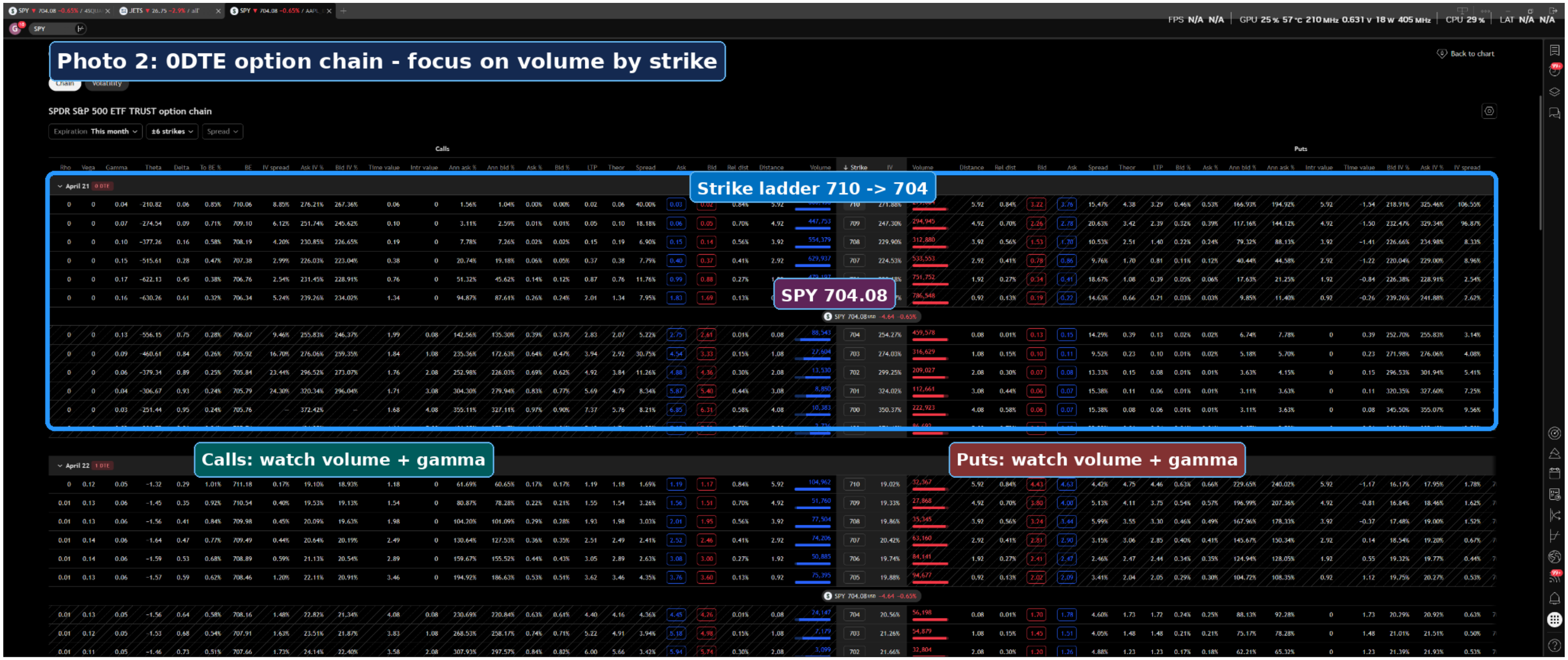
The chart provides the live battlefield. In this case, SPY rejected the 710-712 area and traded back toward 704. That matters because the option chain shows heavy activity around nearby strikes.

Chart read

Upper rejection: 710-712. Current area: 704.08. Main gamma shelf to test: 705-707. Downside trigger: 702.68. This is the map you bring into the option chain.

3. Move to the correct expiration: 0DTE

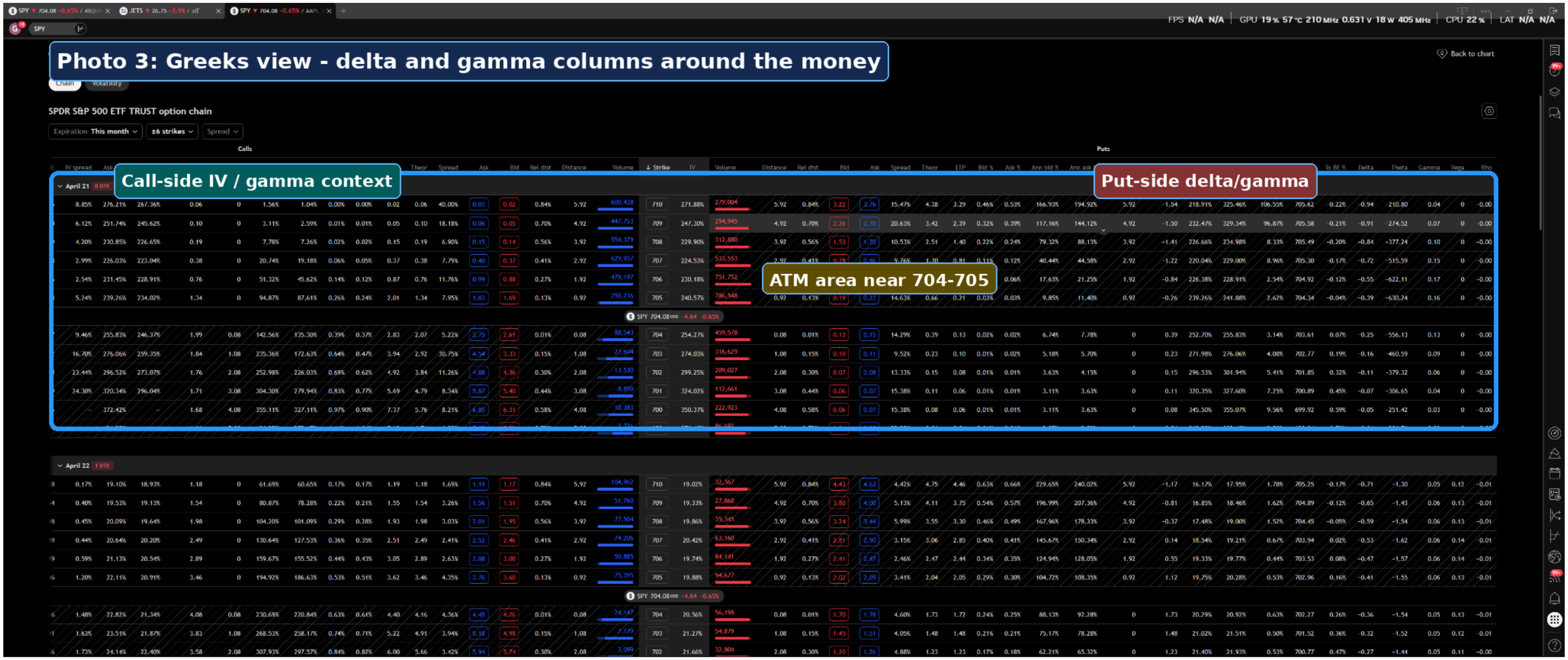
For today's intraday gamma read, use the same-day expiration first. 0DTE options can have sharp delta changes because little time remains before expiration.



Workflow: choose 0DTE, center the chain around spot, identify nearby strikes, and compare call/put volume and gamma around those strikes.

4. Read the Greeks view: delta and gamma around spot

Delta and gamma are the key variables for this lesson. Delta describes the option's directional sensitivity to SPY. Gamma describes how quickly that delta changes as SPY moves.



Beginner translation

Delta = directional exposure. Gamma = acceleration of that exposure. High gamma near spot means the hedge can need adjustment quickly.

5. Build the strike map around SPY 704.08

Do not begin with the option price. Begin with the underlying price, then ask which strikes are closest to that price.

Strike	Position vs. spot	How to use it
710	Above spot	Call-wall / upper resistance candidate
709	Above spot	Upside magnet if 708 breaks
708	Above spot	First upside expansion area
707	Above spot	Top of main gamma shelf
706	Above spot	Center of main gamma shelf
705	Just above spot	Reclaim / reject level
704	At or near spot	Immediate balance area
703-702	Below spot	Downside trigger area; 702.68 was session low

The simple rule

Asset price tells you where the market is. **Strike price** tells you where option risk may concentrate.

Because SPY was near 704.08, the most important part of the chain was 704-710. This is where small price moves can quickly change the delta of near-the-money 0DTE contracts.

Primary zone

705-707 is the main zone to watch because it combines proximity to spot, high option activity, and elevated gamma relative to farther strikes.

6. Extract the option-chain data

Use this table to translate the screenshot into a clean decision map. The numbers below are the important strikes around SPY spot.

Strike	Call volume	Put volume	Call gamma	Put gamma	Quick read
710	600,438	279,004	0.04	0.04	High call volume, lower gamma
709	447,773	294,945	0.07	0.07	Call side stronger
708	554,379	312,880	0.10	0.10	Call side stronger
707	629,937	533,553	0.15	0.15	Major balanced strike
706	479,197	751,752	0.17	0.17	Huge put-side gamma zone
705	250,236	786,548	0.16	0.16	Huge put-side gamma zone
704	88,543	459,578	0.13	0.13	Put pressure near current price

Key lesson

The highest raw volume is not enough. You want high volume near spot plus meaningful gamma. That is why the 705-707 region matters more for intraday hedging than a distant volume spike by itself.

7. Rank strikes with a simple gamma-pressure score

A beginner-safe heuristic is **Gamma Pressure Score = option volume x gamma**. This is not a full dealer-position model. It is only a quick ranking tool to decide which strikes deserve attention.

Strike	Call score	Put score	Bias
710	24,018	11,160	Call volume wall; lower gamma
709	31,344	20,646	Call side stronger
708	55,438	31,288	Call side stronger
707	94,491	80,033	Balanced, slightly call-heavy
706	81,464	127,798	Put side stronger
705	40,038	125,848	Put side much stronger
704	11,511	59,745	Put side stronger

Interpretation

The biggest zones are 706 puts, 705 puts, 707 calls, 707 puts, and 706 calls. That places the main active battlefield at **705-707**.

A high score does not say whether dealers are long gamma or short gamma. It says: this strike has enough activity and sensitivity that price behavior there deserves attention.

Never skip confirmation

The chain gives the map. The chart confirms whether price is pinning, rejecting, or accelerating.

8. Divide the market into three zones

Zone	Meaning	What to watch
Below 705	Downside danger zone	If SPY fails to reclaim 705 and breaks 702.68, watch for possible negative-gamma downside acceleration.
705-707	Main battlefield	If price keeps snapping back into this band, the behavior looks like pinning or mean reversion.
Above 708-710	Upside call-wall zone	If SPY reclaims 707, 708 and 710 become magnets or resistance depending on follow-through.

Possible pinning behavior

SPY moves above 706, selling appears. SPY moves below 705, buying appears. Price keeps returning to 705-707.

Possible acceleration behavior

SPY breaks a high-gamma strike and does not return. Candles expand, volume increases, and the next strike becomes the target.

Today's clean read

SPY near 704.08 was sitting below the 705-707 gamma shelf. That made 705 the first reclaim/reject test, 707 the upper confirmation, and 702.68 the downside trigger.

9. Know the two dealer-gamma regimes

Regime	Market behavior	What you may observe
Positive-gamma look	Pinning / mean reversion	Price slows near strike; dips get bought; rallies fade; candles shrink; volatility compresses.
Negative-gamma look	Acceleration / volatility expansion	Price breaks a strike and runs; candles expand; spreads widen; next strike gets pulled into play.

Scenario	Confirmation checklist
SPY below 705	705 resistance? Put volume growing at 705/704/703? Candles expanding? Break 702.68?
SPY reclaims 705	705 hold? 706 support? Call volume building at 706/707/708? Stall at 707?
SPY reaches 710	Stall near 710? Upper wicks? Reject back toward 707?

10. Use open interest and spreads correctly

Open interest is not the same as volume. Volume is today's trading activity. Open interest is the number of open contracts still active after clearing. Use OI before the open for liquidity context; use volume during the session for live participation.

Metric	Use	Caution
Volume	Today's active flow	Can be opening or closing
Open interest	Liquidity / old positioning	Not real-time inventory
Bid-ask spread	Execution quality	Wide spread = poor fills
Delta + Gamma	Sensitivity + hedge speed	Theoretical, not guaranteed

Beginner rule

Analyze 0DTE before trading 0DTE. The purpose of this lesson is to read market structure, not to buy same-day options.

When using the option chain to support a trade in the underlying, do not enter simply because one strike has volume. Wait for price to interact with the level and confirm the behavior.

Execution reminder

A market maker often buys at bid and sells at ask. A student should understand spreads before using options for real money.

11. Paper-trading exercise: the 30-minute gamma log

Use this worksheet during a live SPY session. The goal is to train observation, not prediction.

Time	SPY price	Nearest strike	Top call score	Top put score	Observed behavior	Notes
9:45					Pin / reject / accel?	
10:15					Pin / reject / accel?	
10:45					Pin / reject / accel?	
11:15					Pin / reject / accel?	
12:00					Pin / reject / accel?	

After-action review

At the end of the session, write one sentence: "The dominant behavior was pinning / rejection / upside acceleration / downside acceleration because..." Then support it with price, strike, volume, and gamma evidence.

12. One-page field checklist

Step 1 - Mark the underlying: SPY price, high, low, open, and key chart levels.

Step 2 - Select expiration: 0DTE for today; 1DTE for tomorrow; weekly/monthly for larger magnets.

Step 3 - Center around spot: list strikes immediately above and below the underlying.

Step 4 - Extract data: call volume, put volume, open interest, delta, gamma.

Step 5 - Score strikes: volume x gamma to rank possible hedging zones.

Step 6 - Watch reaction: pin, reject, or accelerate at the key strikes.

Today's SPY conclusion

Main gamma zone: **705-707**
Current SPY: **704.08**
Upside trigger: reclaim **705**, then **707**
Upside magnet/resistance: **708-710**
Downside trigger: break **702.68**

Clean student wording

"SPY is just below a 705-707 gamma shelf. If price reclaims the shelf and stalls, watch for pinning. If price fails at 705 and loses 702.68, watch for downside acceleration. If price reclaims 707, 708 and 710 become the next option-chain levels."

References and source notes

Instructor screenshots and transcript: April 21, 2026 conversation and uploaded SPY chart/option-chain screenshots. Used for the case-study data table and workflow examples.

OIC - Understanding Options Greeks: Greeks are theoretical guideposts for estimating option value changes and risks; they are not guarantees of exact price changes.
https://www.optionseducation.org/advancedconcepts/understanding-options-greeks

OIC - Open Interest: Why It Matters: Open interest represents the collective number of open option contracts still active; it changes depending on opening and closing transactions.
https://www.optionseducation.org/news/open-interest-why-it-matters

OCC - Characteristics and Risks of Standardized Options: Investors should read the ODD before buying or selling options.
https://www.theocc.com/company-information/documents-and-archives/options-disclosure-document

SEC Investor.gov - ETF bid/ask spread: ETFs and other exchange-traded securities have bid and ask prices; the difference is the spread.
https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins-24

SPY market data snapshot: SPY 704.08, open 710.17, high 712.26, low 702.68, volume 58,513,666, latest trade April 21, 2026 21:39:02 UTC.

Risk and compliance note

This guide is educational and is not investment advice, financial advice, or a recommendation to buy or sell SPY, options, or any other instrument. Options involve risk and are not suitable for all investors.